Meridian Actuarial Advisors LLC

www.meridianactuarial.com

April 7, 2016

Elizabeth Horne
Director of Operations
Howard and Sons

Dear Ms. Horne:

This letter sets out the terms on which we will perform an actuarial valuation of the defined benefit pension plan sponsored by Howard and Sons. It records what we have agreed to do, what we will rely on, the professional standards the work will be performed under, and the commercial terms that govern the engagement. If it reflects your understanding, please countersign and return it.

Scope of Work

We will measure the plan's liabilities and compare them against plan assets as of the valuation date established with your staff. The engagement produces three deliverables: a funding valuation report; a workbook of supporting exhibits, including the development of the normal cost, the actuarial accrued liability, and the recommended contribution; and the disclosure schedules your auditors require for the sponsor's financial statements.

The following are within scope: reconciliation of the participant census against the prior valuation; development of liabilities on the plan's funding basis; a gain and loss analysis attributing the change in funded position to its sources; and a review of the actuarial assumptions, with recommendations where our review indicates that an assumption no longer reflects reasonable expectations. Assumption changes, if any, are recommended by us and adopted by you.

The following are outside scope and are available under separate engagement: benefit calculations for individual participants; plan design studies or cost projections for contemplated amendments; asset-liability modeling; nondiscrimination testing; and any opinion addressed to a party other than the sponsor and the plan's trustees.

Reliance on Data and Plan Provisions

Our work relies on information you furnish: the participant census extract; the trustee's asset statements; the plan document and all amendments in effect on the valuation date; and the prior valuation report and its exhibits. We will review what we receive for internal consistency and general reasonableness, and we will reconcile the census against the population used in the prior valuation. We will not audit it. If the underlying data are materially inaccurate or incomplete, our results will be correspondingly affected, and we do not accept responsibility for that outcome. Where an item is missing and cannot be obtained, we will make an assumption, and we will disclose in the report both the assumption and the fact that we made it.

Professional Standards

The valuation will be performed in accordance with the Actuarial Standards of Practice promulgated by the Actuarial Standards Board. The report will be signed by an actuary who meets the Qualification Standards of the American Academy of Actuaries to render the statement of actuarial opinion it contains. The report will state the actuary's reliance on the data furnished, identify each assumption and its source, and distinguish the measurements from the judgments made in arriving at them. We do not issue an opinion the standards do not support, and we do not withhold a qualification a reader needs in order to read the number correctly.

Engagement Team

Jennifer Vasquez, Consulting Actuary, is responsible for the engagement day to day and will be your point of contact. She writes the report and will present the results to your board if you ask us to. David Sherman, Senior Analyst, runs the valuation itself and will handle the data exchange directly with your staff; he is the person to reach on file formats, extract definitions, and reconciliations. Jeffrey Ochoa, Actuarial Analyst, supports the valuation and prepares the exhibits and the disclosure schedules. Robert Lawrence, Managing Actuary, reviews the work and signs the opinion.

We do not substitute team members without telling you. If a change is unavoidable, we will name the replacement in writing before that person begins work.

Fees and Payment

The fee for this engagement, and the basis on which it is calculated, are stated on the signature page, which our respective counsel have executed separately. They are not restated here. Invoices are rendered monthly for work performed and are payable within thirty days of receipt. Out-of-scope work is not performed on assumption; if you ask for something this letter does not cover, we will quote it and wait for your written authorization before starting. Work commences on April 17, 2016.

Term and Termination

The engagement begins on the commencement date stated above and continues until the deliverables described under Scope of Work have been issued and any board presentation you request has been made. Either party may terminate on thirty days' written notice. On termination you owe fees for work performed and expenses incurred through the effective date, and we will deliver our work product in whatever state it then stands, with a written statement of what remains unfinished. An unfinished valuation is not an opinion and must not be represented as one.

Confidentiality

We will hold your participant data and plan information in confidence and use them only for this engagement. Access is limited to the team named above and to those in our office whose work requires it. We will not disclose your information to a third party without your written consent, except where a professional standard, a court, or a regulator with jurisdiction compels disclosure; in that event we will notify you first if we are permitted to. Our obligation survives termination. It does not extend to information that is public, that we held before you furnished it, or that a third party provides to us without a duty of confidence.

Limitation of Liability

Our aggregate liability arising out of this engagement, on any theory, is limited to the fees paid to us under it, except in the case of our fraud or willful misconduct. Neither party is liable to the other for indirect, incidental, or consequential damages, including lost profits, whether or not the possibility of them was known. Our reports are prepared for the sponsor and the plan's trustees. Any other party who reads them does so without our consent and acquires no right against us. This paragraph is not a waiver of any obligation the Actuarial Standards of Practice impose on us, and it does not limit our accountability under them.

Governing Law

This engagement is governed by the laws of the state in which our principal office is located, without regard to its conflict of laws rules. The parties will attempt to resolve any dispute arising under this letter by negotiation between senior representatives before commencing proceedings. This letter, together with its signature page, is the entire agreement between us on its subject matter and supersedes any prior discussion; it may be amended only in writing signed by both parties.

Please indicate your agreement by signing below and returning one executed copy to our office. We are glad to be working with Howard and Sons on this valuation, and we will be ready to receive the census extract as soon as the letter is back.

Very truly yours,

Fixed professional fee, as executed: $30,500

Robert Lawrence
Managing Actuary
Date: April 7, 2016

Elizabeth Horne
Director of Operations, Howard and Sons
Date: April 7, 2016